

NOTES

forming part of the consolidated financial statements

2. Material accounting policies (Contd.)

Exchange differences arising on the re-translation or settlement of other monetary items are included in the consolidated statement of profit and loss for the period.

For the purpose of presenting the consolidated financial statements, the assets and liabilities of the Company's foreign subsidiaries, associates and joint ventures are expressed in "₹" using exchange rates prevailing at the end of the reporting period. Income and expense items are translated at the average exchange rates for the period. Exchange differences arising, if any, are recognised in other comprehensive income and accumulated in a separate component of equity. On the disposal of a foreign operation, all of the accumulated exchange differences in respect of that operation attributable to the Company are reclassified to the consolidated statement of profit and loss.

Goodwill and fair value adjustments arising on the acquisition of a foreign operation are treated as assets and liabilities of the foreign operation and translated at the closing rate.

(w) Recent Accounting Pronouncements

Ministry of Corporate Affairs ("MCA") has notified amendments to the existing standards Ind AS 1 – Presentation of financial statements relating to classification of liabilities as current or non-current subject to covenants, Ind AS 12 – Income Taxes relating to international tax reforms – Pillar Two Model Rules, Ind AS 21 – the effect of changes in foreign exchange rates and Ind AS 107 – Financial Instruments: Disclosures and Ind AS 7 - Statement of Cash flows relating to disclosure of supplier financing arrangements, applicable from April 1, 2025. The Group has assessed that there is no significant impact on its financial statements with respect to the amendments in Ind AS 1, Ind AS 21 and Ind AS 12. The Group has evaluated and provided disclosure with respect to supplier financing arrangement in note 27, page F214.

NOTES

forming part of the consolidated financial statements

3. Property, plant and equipment

[Item No. I(a) and I(b), Page F142]

(₹ crore)

	Land including roads	Buildings	Plant and machinery	Furniture, fixtures and office equipments (FFOE)	Vehicles and aircraft	Railway sidings	Total
Cost/deemed cost as at April 1, 2025	18,928.44	29,806.31	1,76,972.73	1,282.97	393.45	1,889.56	2,29,273.46
Addition relating to acquisitions	253.57	561.25	3,340.79	15.39	4.24	-	4,175.24
Additions	150.34	2,692.69	23,104.29	123.96	3.39	424.85	26,499.52
Disposals	(54.83)	(237.37)	(1,791.66)	(51.88)	(15.04)	(1.35)	(2,152.13)
Disposal of group undertakings	(0.03)	(3.97)	(6.54)	(0.89)	(0.01)	-	(11.44)
Other-reclassifications	119.19	(662.60)	1,416.80	5.23	(0.23)	-	878.39
Exchange differences on consolidation	610.57	1,509.45	12,161.93	10.68	1.77	71.15	14,365.55
Cost/deemed cost as at March 31, 2026	20,007.25	33,665.76	2,15,198.34	1,385.46	387.57	2,384.21	2,73,028.59
Accumulated impairment as at April 1, 2025	324.11	362.21	7,635.47	3.96	1.38	21.05	8,348.18
Charge for the year	0.05	43.20	7.78	-	-	-	51.03
Disposals	(0.02)	(0.22)	(3.11)	-	-	-	(3.35)
Other-reclassifications	122.60	6.62	47.15	-	-	-	176.37
Exchange differences on consolidation	48.89	55.87	1,074.79	0.50	-	2.86	1,182.91
Accumulated impairment as at March 31, 2026	495.63	467.68	8,762.08	4.46	1.38	23.91	9,755.14
Accumulated depreciation as at April 1, 2025	1,316.76	11,251.58	81,079.69	1,000.16	253.23	808.69	95,710.11
Addition relating to acquisitions	-	58.43	846.30	4.73	0.43	-	909.89
Charge for the year	96.29	1,048.25	8,818.34	130.76	17.37	81.12	10,192.13
Disposals	-	(133.90)	(1,322.51)	(48.51)	(13.80)	(1.22)	(1,519.94)
Disposal of group undertakings	-	(0.19)	(0.63)	(0.69)	-	-	(1.51)
Other-reclassifications	18.86	(814.44)	735.30	(5.79)	2.06	4.19	(59.82)
Exchange differences on consolidation	28.67	1,027.33	7,060.56	3.08	0.79	43.95	8,164.38
Accumulated depreciation as at March 31, 2026	1,460.58	12,437.06	97,217.05	1,083.74	260.08	936.73	1,13,395.24
Total accumulated depreciation and impairment as at March 31, 2026	1,956.21	12,904.74	1,05,979.13	1,088.20	261.46	960.64	1,23,150.38
Net carrying value as at April 1, 2025	17,287.57	18,192.52	88,257.57	278.85	138.84	1,059.82	1,25,215.17
Net carrying value as at March 31, 2026	18,051.04	20,761.02	1,09,219.21	297.26	126.11	1,423.57	1,49,878.21

NOTES

forming part of the consolidated financial statements

3. Property, plant and equipment (Contd.)

[Item No. I(a) and I(b), Page F142]

(₹ crore)

	Land including roads	Buildings	Plant and machinery	Furniture, fixtures and office equipments (FEOE)	Vehicles and aircraft	Railway sidings	Total
Cost/deemed cost as at April 1, 2024	18,670.57	28,095.96	1,66,405.07	1,221.28	422.32	1,871.67	2,16,686.87
Additions	89.45	1,116.36	8,834.45	119.31	8.36	3.41	10,171.34
Disposals	(12.27)	(20.13)	(805.46)	(75.31)	(38.40)	-	(951.57)
Other re-classifications	68.28	340.35	408.59	(0.02)	0.40	-	817.60
Exchange differences on consolidation	112.41	273.77	2,130.08	17.71	0.77	14.48	2,549.22
Cost/deemed cost as at March 31, 2025	18,928.44	29,806.31	1,76,972.73	1,282.97	393.45	1,889.56	2,29,273.46
Accumulated impairment as at April 1, 2024	24.17	333.74	7,222.12	3.79	1.38	20.05	7,605.25
Charge for the year	56.62	14.44	104.55	-	-	-	175.61
Disposals	-	-	(45.04)	-	-	-	(45.04)
Other re-classifications	233.96	-	8.97	-	-	-	242.93
Exchange differences on consolidation	9.36	14.03	344.87	0.17	-	1.00	369.43
Accumulated impairment as at March 31, 2025	324.11	362.21	7,635.47	3.96	1.38	21.05	8,348.18
Accumulated depreciation as at April 1, 2024	1,427.17	9,747.12	72,424.64	947.29	265.55	731.71	85,543.48
Charge for the year	102.59	1,029.30	7,705.50	119.24	21.77	68.47	9,046.87
Disposals	-	(12.73)	(506.58)	(75.75)	(33.13)	-	(628.19)
Other re-classifications	(225.80)	306.70	274.59	(5.50)	(1.65)	-	348.34
Exchange differences on consolidation	12.80	181.19	1,181.54	14.88	0.69	8.51	1,399.61
Accumulated depreciation as at March 31, 2025	1,316.76	11,251.58	81,079.69	1,000.16	253.23	808.69	95,710.11
Total accumulated depreciation and impairment as at March 31, 2025	1,640.87	11,613.79	88,715.16	1,004.12	254.61	829.74	1,04,058.29
Net carrying value as at April 1, 2024	17,219.23	18,015.10	86,758.31	270.20	155.39	1,119.91	1,23,538.14
Net carrying value as at March 31, 2025	17,287.57	18,192.52	88,257.57	278.85	138.84	1,059.82	1,25,215.17

NOTES

forming part of the consolidated financial statements

3. Property, plant and equipment (Contd.)

[Item No. I(a) and I(b), Page F142]

- (i) Net carrying value of furniture, fixtures and office equipment comprises of:

	As at March 31, 2026	As at March 31, 2025
(₹ crore)		
Furniture and fixtures		
Cost/deemed cost	321.40	311.91
Accumulated depreciation and impairment	247.18	244.98
	74.22	66.93
Office equipments		
Cost/deemed cost	1,064.06	971.07
Accumulated depreciation and impairment	841.02	759.15
	223.04	211.92
	297.26	278.85

- (ii) Borrowing costs has been capitalised (refer note 31, page F218) during the year against qualifying assets under construction using a capitalisation rate ranging between **2.59% to 10.46%** (2024-25: 4.97% to 11.05%).
- (iii) During the year ended March 31, 2026, the Group considered indicators of impairment such as decline in operational performance, changes in the outlook of future profitability among other potential indicators etc for its cash generating units ('CGUs') within the steel, mining and other business operations. In respect of CGUs where indicators of impairment were identified, the Group estimated the recoverable amount based on the higher of value in use or fair value less cost to sell.

The outcome of the assessment as on March 31, 2026 resulted in the Group recognising an impairment of **₹323.77** crore (2024-25: ₹233.89 crore) for property, plant and equipment including capital work-in-progress. The impairment charge for the year relates to specific assets within the Group's European, Canadian and Indian operations, the details of which is provided below.

With respect to CGUs within the European operations, an impairment charge of **₹62.77** crore (2024-25: ₹233.89 crore) has been recognised within exceptional items in the consolidated statement of profit and loss.

Within the Canadian operations, the Group has recognised an impairment charge of **₹50.29** crore (2024-25: Nil) which is included within exceptional items in the consolidated statement of profit and loss.

Within the Indian operations, the Group has recognised an impairment charge of **₹210.71** crore (2024-25: Nil) which is included within exceptional items in the consolidated statement of profit and loss.

The Group's European operations comprise two CGUs, Tata Steel UK Limited (TSUK) and Tata Steel Netherland (TSN). The key assumptions for the fair value model of TSN relates to expected changes to selling prices and raw material & conversion costs, EU steel demand, energy costs, transformation programme with improvement initiatives/cost rationalisation (including employee cost), exchange rates, the amount of capital expenditure needed for decarbonisation, changes to EBITDA resulting from producing and selling steel with low embedded CO₂ emissions, levels of government support for decarbonisation, phasing of decommissioning of legacy assets as well as the commissioning of new low CO₂ production facilities, tariff regimes and discount rates. The projections are based on both the past performance and the expectations of future performance

NOTES

forming part of the consolidated financial statements

3. Property, plant and equipment (Contd.)

[Item No. I(a) and I(b), Page F142]

assumptions therein. The Group estimates discount rates using post-tax rates that reflect the current market rates adjusted to reflect the way the European Union steel market would assess the specific risk. The weighted average post-tax discount rates used for discounting the cash flows projections is **8.15%** (March 31, 2025: 8.20%). Beyond the specifically forecasted period, a growth rate in the range of **2.00%** (March 31, 2025: 2.00%) is used to extrapolate the cash flow projections. This rate does not exceed the average long-term growth rate for the relevant markets. The outcome of the assessment of TSN as on March 31, 2026 has not resulted in any impairment other than those in respect of specific assets as mentioned above which are no longer expected to be used considering the Group's decarbonisation and restructuring plan. Also refer note 51, page F265.

In respect of TSUK, the key assumptions for the fair value model are majorly similar to TSN. The weighted average post-tax discount rates used for discounting the cash flows projections is **9.94%** (March 31, 2025: 9.56%). Beyond the specifically forecasted period, a growth rate of **Nil** (March 31, 2025: Nil) is used to extrapolate the cash flow projections. The outcome of the assessment of TSUK as on March 31, 2026 has not resulted in any impairment other than those in respect of specific assets as mentioned above which are no longer expected to be used considering the Group's decarbonisation and restructuring plan.

The Group has conducted sensitivity analysis on the impairment tests of the carrying value in respect of Group's CGUs. The Group believes that no reasonably possible change in any of the key assumptions used in the model would cause the carrying value to materially exceed its recoverable value.

- (iv) Details of property, plant and equipment pledged against borrowings is presented in note 22, page F204.
- (v) Net additions to capital work-in-progress during the year is **₹12,494.06** crore (2024-25: ₹16,450.85 crore)
- (vi) Ageing of capital work-in-progress is as follows:

As at March 31, 2026

(₹ crore)

	Amount in capital work-in-progress for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	11,729.69	5,531.16	3,002.38	6,848.85	27,112.08
Projects temporarily suspended	-	26.01	11.42	360.78	398.21
Total	11,729.69	5,557.17	3,013.80	7,209.63	27,510.29

As at March 31, 2025

(₹ crore)

	Amount in capital work-in-progress for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	18,244.32	10,679.13	6,129.23	5,198.28	40,250.96
Projects temporarily suspended	-	2.56	157.20	191.16	350.92
Total	18,244.32	10,681.69	6,286.43	5,389.44	40,601.88

NOTES

forming part of the consolidated financial statements

3. Property, plant and equipment (Contd.)

[Item No. I(a) and I(b), Page F142]

(vii) The expected completion of amounts lying in capital work in progress which are overdue is as below:

As at March 31, 2026

(₹ crore)

	Amount of capital work-in-progress to be completed in			
	Less than 1 year	1-2 years	2-3 years	More than 3 years
Projects in progress:				
Tata Steel India:				
Growth projects	13,400.74	173.61	42.23	-
Raw material augmentation	143.20	92.64	598.01	-
Environment, safety and compliance	788.56	12.88	-	0.73
Sustenance projects	2,240.08	701.63	107.30	403.51
	16,572.58	980.76	747.54	404.24
Tata Steel UK Operations:				
Growth projects	-	-	-	-
Raw material augmentation	44.57	-	-	-
Sustenance projects	-	-	-	1,928.30
	44.57	-	-	1,928.30
Tata Steel Netherland Operations:				
Growth projects	-	-	-	-
Environment, safety and compliance	17.81	-	-	-
Sustenance projects	2.54	22.57	-	-
	20.35	22.57	-	-
Neelachal Ispat Nigam Limited				
Sustenance projects	44.62	29.39	-	0.14
	44.62	29.39	-	0.14
	16,682.12	1,032.72	747.54	2,332.68
Projects temporarily suspended:				
Tata Steel Netherland Operations:				
Sustenance projects	-	-	11.43	312.03
	-	-	11.43	312.03

NOTES

forming part of the consolidated financial statements

3. Property, plant and equipment (Contd.)

[Item No. I(a) and I(b), Page F142]

As at March 31, 2025

(₹ crore)

	Amount of capital work-in-progress to be completed in			
	Less than 1 year	1-2 years	2-3 years	More than 3 years
Projects in progress:				
Tata Steel India:				
Growth projects	20,355.94	1,893.08	1,026.40	-
Raw material augmentation	3,538.99	-	-	-
Environment, safety and compliance	850.68	185.57	-	-
Sustenance projects	3,265.94	1,462.01	3.13	13.15
	28,011.55	3,540.66	1,029.53	13.15
Tata Steel UK Operations:				
Growth projects	228.34	-	-	-
Raw material augmentation	-	-	-	-
Sustenance projects	-	-	-	-
	228.34	-	-	-
Neelachal Ispat Nigam Limited				
Sustenance projects	70.55	2.36	-	126.84
	70.55	2.36	-	126.84
	28,310.44	3,543.02	1,029.53	139.99
Projects temporarily suspended:				
Tata Steel Netherland Operations:				
Sustenance projects	-	-	-	-
	-	-	-	-

The Group in the earlier years had prioritised its strategic objective of deleveraging balance sheet over the planned investments in organic growth projects which resulted in lower capital expenditure on projects as compared to the original plan as approved by the Board of Directors of the Company.

Following the rebalancing of capital structure and the Company attaining an investment grade credit rating, the capital allocation for organic growth projects has been increased and the Group expects to commission these facilities in line with their revised completion schedules.

NOTES

forming part of the consolidated financial statements

4. Right-of-use assets

[Item No. I(c), Page F142]

(₹ crore)

	Right-of-use Land	Right-of-use Buildings	Right-of-use Plant and Machinery	Right-of-use furniture, fixtures and office equipments	Right-of-use vehicles	Total right-of- use assets
Cost as at April 1, 2025	3,370.81	2,013.10	9,142.46	15.27	436.55	14,978.19
Addition relating to acquisitions	274.43	10.32	669.94	-	-	954.69
Additions	4.86	1,170.38	1,162.40	27.21	158.54	2,523.39
Disposals	(23.06)	(174.98)	(927.93)	(1.74)	(53.98)	(1,181.69)
Disposal of group undertakings	-	(0.96)	-	-	-	(0.96)
Other re-classifications	(2.35)	(9.16)	(725.68)	(1.51)	0.20	(738.50)
Exchange differences on consolidation	26.59	322.88	392.72	3.91	49.60	795.70
Cost as at March 31, 2026	3,651.28	3,331.58	9,713.91	43.14	590.91	17,330.82
Accumulated impairment as at April 1, 2025	-	414.48	243.63	0.25	2.58	660.94
Charge for the year	-	-	-	-	(1.46)	(1.46)
Disposals	-	-	(266.48)	-	-	(266.48)
Other re-classifications	-	-	32.98	-	1.46	34.44
Exchange differences on consolidation	-	57.41	14.15	0.05	0.32	71.93
Accumulated impairment as at March 31, 2026	-	471.89	24.28	0.30	2.90	499.37
Accumulated depreciation as at April 1, 2025	430.30	1,138.77	4,448.96	3.37	207.90	6,229.30
Addition relating to acquisitions	1.98	-	-	-	-	1.98
Charge for the year	61.00	149.16	863.73	7.68	109.30	1,190.87
Disposals	(3.91)	(155.78)	(701.53)	(1.74)	(44.14)	(907.10)
Disposal of group undertakings	-	(0.25)	-	-	-	(0.25)
Other re-classifications	1.87	(40.60)	(37.10)	11.36	(14.40)	(78.87)
Exchange differences on consolidation	7.51	139.84	148.68	1.65	25.18	322.86
Accumulated depreciation as at March 31, 2026	498.75	1,231.14	4,722.74	22.32	283.84	6,758.79
Total accumulated depreciation and impairment as at March 31, 2026	498.75	1,703.03	4,747.02	22.62	286.74	7,258.16
Net carrying value as at April 1, 2025	2,940.51	459.85	4,449.87	11.65	226.07	8,087.95
Net carrying value as at March 31, 2026	3,152.53	1,628.55	4,966.89	20.52	304.17	10,072.66

NOTES

forming part of the consolidated financial statements

4. Right-of-use assets (Contd.)

[Item No. I(c), Page F142]

(₹ crore)

	Right-of-use Land	Right-of-use Buildings	Right-of-use Plant and Machinery	Right-of-use furniture, fixtures and office equipments	Right-of-use vehicles	Total right-of- use assets
Cost as at April 1, 2024	3,396.30	2,076.60	8,705.74	16.87	371.19	14,566.70
Additions	3.83	51.94	1,220.04	0.09	101.89	1,377.79
Disposals	(3.49)	(13.14)	(865.54)	(0.19)	(45.83)	(928.19)
Other re-classifications	(42.06)	(182.64)	(1.04)	(1.95)	(0.12)	(227.81)
Exchange differences on consolidation	16.23	80.34	83.26	0.45	9.42	189.70
Cost as at March 31, 2025	3,370.81	2,013.10	9,142.46	15.27	436.55	14,978.19
Accumulated impairment as at April 1, 2024	-	395.42	238.73	0.25	2.57	636.97
Other re-classifications	-	-	(6.68)	-	-	(6.68)
Exchange differences on consolidation	-	19.06	11.58	-	0.01	30.65
Accumulated impairment as at March 31, 2025	-	414.48	243.63	0.25	2.58	660.94
Accumulated depreciation as at April 1, 2024	366.78	1,164.37	4,644.88	4.05	163.76	6,343.84
Charge for the year	60.95	113.43	658.78	0.38	80.72	914.26
Disposals	(1.67)	(13.39)	(864.71)	(0.19)	(40.15)	(920.11)
Other re-classifications	0.78	(170.27)	(31.89)	(1.02)	(1.32)	(203.72)
Exchange differences on consolidation	3.46	44.63	41.90	0.15	4.89	95.03
Accumulated depreciation as at March 31, 2025	430.30	1,138.77	4,448.96	3.37	207.90	6,229.30
Total accumulated depreciation and impairment as at March 31, 2025	430.30	1,553.25	4,692.59	3.62	210.48	6,890.24
Net carrying value as at April 1 2024	3,029.52	516.81	3,822.13	12.57	204.86	7,585.89
Net carrying value as at March 31, 2025	2,940.51	459.85	4,449.87	11.65	226.07	8,087.95

- (i) The Group's significant leasing arrangements relate to assets specifically set up for dedicated use by the Group under long term arrangements and time charter of vessels. Other leases include land, office space, equipment, vehicles and some IT equipment.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. Each lease generally imposes a restriction that, unless there is a contractual right for the Group to sublet the asset to another party, the right-of-use asset can only be used by the Group. Extension and termination options are included in some property and equipment leases. These are used to maximise operational flexibility in terms of managing the assets used in the Group's operations. Majority of the extension and termination options held are exercisable based on mutual agreement of the Group and the lessor.

NOTES

forming part of the consolidated financial statements

4. Right-of-use assets (Contd.)

[Item No. I(c), Page F142]

With the exception of short-term leases and leases of low-value underlying assets, each lease is reflected on the balance sheet as a right-of-use asset and a lease liability. Payments made for short term leases and leases of low value are expensed on a straight-line basis over the lease term.

Variable lease payments which do not depend on an index or a rate (such as lease payments based on a percentage of sales) are excluded from the initial measurement of the lease liability and asset.

For leases recognised under long term arrangements involving use of a dedicated asset, non-lease components are excluded based on the underlying contractual terms and conditions. A change in the allocation assumptions may have an impact on the measurement of lease liabilities and the related right-of-use assets.

During the year ended March 31, 2026, the Group has recognised the following in the consolidated statement of profit and loss:

- (i) expense in respect of short-term leases and leases of low-value assets **₹24.31** crore (2024-25: ₹218.11 crore) and **₹35.74** crore (2024-25: ₹41.60 crore) respectively.
- (ii) expense in respect of variable lease payments not included in the measurement of lease liabilities **₹297.35** crore (2024-25: ₹268.73 crore).
- (iii) income in respect of sub-leases of right-of-use assets **₹0.04** crore (2024-25: ₹0.06 crore).

During the year ended March 31, 2026, total cash outflow in respect of leases amounted to **₹2,098.37** crore (2024-25: ₹2,064.44 crore).

During the year ended March 31, 2026, the Company has sold an Air Separation Unit for a consideration of **₹575** crore. Simultaneously, the Company has entered into a lease arrangement with respect to such Air Separation Unit. No gain/loss has been recorded in respect of such sale and leaseback transaction.

As at March 31, 2026, commitments for leases not yet commenced was **Nil** (March 31, 2025: ₹5.28 crore).